



MEMORANDUM

CN - No. 2023-0043

THE PHILIPPINE STOCK EXCHANGE, INC.

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| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Revisions |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : PROPOSED AMENDMENTS TO THE REVISED TRADING RULES AND ITS IMPLEMENTING GUIDELINES RE: (A) ALGORITHMIC TRADING; AND (B) VWAP TRADING

DATE : September 5, 2023

The Exchange is inviting all interested parties to submit their comments on the proposed amendments to the Revised Trading Rules and its Implementing Guidelines regarding (a) Algorithmic Trading; and (b) VWAP Trading.

Comments may be sent to the Office of the General Counsel at ogc@pse.com.ph until **September 19, 2023**.

(original signed)
Ramon S. Monzon
President and CEO

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The Philippine Stock Exchange, Inc.

Consultation Paper

PROPOSED AMENDMENTS TO THE REVISED TRADING RULES AND ITS IMPLEMENTING GUIDELINES RE:

- (A) ALGORITHMIC TRADING; AND**
- (B) VWAP TRADING**

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit their comments, if any, on the proposed amendments to The Philippine Stock Exchange, Inc.'s ("PSE" or "Exchange") Revised Trading Rules (the "Rules") and its Implementing Guidelines.

Interested parties may submit their comments and requests for clarifications by e-mail to ogc@pse.com.ph until September 19, 2023.

II. Rationale for the Rule Review

A. Algorithmic Trading

Presently, the PSE Rules on Direct Market Access ("DMA Rules") expressly prohibits the use of DMA Facility for algorithmic trading ("Algo Trading").

Algorithmic Trading pertains to the use of electronic trading platforms for entering orders to the Exchange, with an algorithm deciding aspects such as timing, price, or quantity of the Order without human intervention. It may also be referred to as algo, strategic or conditioned order. Algo Trading strategies involve making trading decisions based on pre-defined rules or conditions that are programmed into the trading facilities. It enables the market participants to ensure rule-based decision-making.

Furthermore, Algo Trading has been an acceptable and ongoing trading practice in other exchanges because of the advantages it holds over strategically trading manually. Some of these advantages are related to trading accuracy, speed, and the ability to trade based on logical strategies. Specifically, the Stock Exchange of Thailand (SET) and the Thailand Futures Exchange (TFEX) permit all types of investors to use Algo Trading provided that said investors obtain prior permission from SET and TFEX and place orders through an approved Pre-Trade Risk Management (PTRM) of a member. In Singapore, Algo Trading strategies observed in the SGX-ST and SGX-DT markets can be broadly classified into three (3) different categories, namely, Benchmark, Participation Rate, and Liquidity Seeking and Others. Lastly, though the Indonesia Stock Exchange does not directly offer Algo Trading, it allows Automated Ordering. Automated Ordering is electronic ordering used for decision making in the execution of securities trading order without human intervention to achieve certain objectives based on the algorithm and parameters that have been determined, such as volume, price, instrument, market, type, time, and news.

While the DMA Rules of the Exchange currently prohibit Algo Trading, the Exchange has granted exemptions from this rule in respect of child orders originating from conditioned parent orders.

B. VWAP Trading

A number of market participants prefer to trade at the Volume Weighted Average Price (“VWAP”) of a security as a matter of trading strategy.

Based on a study of other ASEAN exchanges, both Bursa Malaysia (“BM”) and Stock Exchange of Thailand (“SET”) allow trading at VWAP, but the two exchanges differ in terms of the execution facility and the timing of execution of VWAP trades.

BM allows VWAP trading through Direct Business Transactions (“DBT”) which are transacted outside BM’s automated trading system (“ATS”) but reported in ATS. Reporting of DBT to BM can be done from 8.30 a.m. to 5.15 p.m. every trading day.

Meanwhile, trading at VWAP can be done in SET after the closing of the regular trading session. SET allows VWAP trading using the VWAP for the trading day during off-trading hours which begins at any time from 4:35 p.m. to 4:40 p.m. and ends at 5:00 p.m.

In PSE, there is currently no facility for trading at VWAP. To enable investors to execute trades on a trading day using that day’s full day VWAP, the Exchange proposes to provide execution and reporting facility for VWAP trades within fifteen (15) minutes before market close.

III. Proposed Amendments

A. Algorithmic Trading

In general, it is proposed that provisions expressly allowing Algo Trading be inserted in the Revised Trading Rules. The DMA Rules, which is currently a stand-alone rule, will also be incorporated in the Revised Trading Rules.

The proposed amendments are as follows:

Existing Rule	Proposed Rule
PSE RULES ON DIRECT MARKET ACCESS	REVISED TRADING RULES
	ARTICLE I DEFINITIONS AND CONSTRUCTIONS
SECTION 2. Definition of Terms	SECTION 1. Definition of Terms
...	...
“Algorithmic Trading” shall mean the use of electronic trading platforms for entering orders to the Exchange, with an algorithm	“Algorithmic Trading” shall mean the use of electronic trading platforms for entering

deciding on aspects such as timing, price, or quantity of the order, or in many cases initiating the order without human intervention. ... None ... “Direct Market Access” or “DMA” shall mean an arrangement whereby a Trading Participant’s client is permitted to enter orders to buy or sell securities including any modifications and cancellations directly into the PSE trade matching system for automatic execution without any intervention by the Trading Participant. ... None ...	eOrders to the Exchange, with an algorithm deciding on aspects such as timing, price, or quantity of the eOrder, or in many cases initiating the order without human intervention. ... <u>“Child Order” is a suborder or a part of a Parent Order that is automatically sent to the market in accordance with specific conditions or algorithm attached to its Parent Order.</u> ... “Direct Market Access” or “DMA” shall mean an arrangement whereby a Trading Participant’s client is permitted to enter eOrders to buy or sell sSecurities including any modifications and cancellations directly into the PSE trade matching system for automatic execution without any intervention by the Trading Participant. ... <u>“Parent Order” is an Order that is manually entered into the trading facility and can be sliced into multiple Child Orders through conditions or algorithm.</u> ...
REVISED TRADING RULES ARTICLE V (This portion is still pending final approval by the SEC)	REVISED TRADING RULES ARTICLE V <u>ALGORITHMIC TRADING</u> <u>SECTION 1. General Provisions</u> <u>Algorithmic Trading is allowed by the Exchange.</u>

	a. <u>An Algorithmic Order is an Order with an attached condition or set of defined instructions and may also be referred to as algo, strategic, or conditioned Order.</u> b. <u>Algorithmic Trading shall at all times comply with the following:</u> i. <u>Programmed or automated Order entry of a Parent Order shall not be allowed; and</u> ii. <u>The Child Order shall be Limit Orders.</u> c. <u>A TP shall comply with the requirements of these Rules and its Implementing Guidelines prior to activation of Algorithmic Trading in the TP's FEOMS or DMA Facility.</u> <u>SECTION 2. Suspension of Algorithmic Trading</u> <u>The Exchange may order the suspension of the use of Algorithmic Trading if it affects the performance of the PSE Trading System such as slowdown or any form of disruption of trading due to instances such as but not limited to the following:</u> i. <u>Unusual volume of Orders sent to the PSE Trading System;</u> ii. <u>Unusual behavior of an Order or Orders that may disrupt the trading of a Security; or</u> iii. <u>Any unusual trading activity that affects the PSE Trading System.</u>
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PSE RULES ON DIRECT MARKET ACCESS ... SECTION 9. Restrictions on the Use of DMA Facility The DMA TP shall observe the following restrictions: ... c. For Automatic Order Routing, simultaneous multiple log-in using the same user account shall not be allowed. For Sponsored Access, simultaneous multiple log-in using the same user ID shall not be allowed; d. For Sponsored Access, the DMA TP shall offer Sponsored Access service only to QIBs; and e. The DMA Facility shall not be used for High-Frequency and/or Algorithmic trading. ...	<u>ARTICLE X</u> <u>DIRECT MARKET ACCESS</u> ... SECTION 97. Restrictions on the Use of DMA Facility The DMA TP shall observe the following restrictions: ... c. For Automatic Order <u>Routing and Sponsored Access</u>, simultaneous multiple log-in using the same user account shall not be allowed. For Sponsored Access, simultaneous multiple log-in using the same user ID shall not be allowed; d. For Sponsored Access, the DMA TP shall offer Sponsored Access service only to QIBs; and e. The DMA Facility shall not be used for High-Frequency and/or Algorithmic trading. ...
None	<u>SECTION 8. Use of Algorithmic Trading</u> <u>a. Algorithmic Trading shall at all times comply with the following:</u> <u>i. The Child Orders shall undergo DMA TP's risk checks;</u> <u>ii. DMA TP shall not be engaged in, and will not accept any Orders arising from or intended for, High Frequency Trading; and</u>

	<u>iii. Other provisions on Algorithmic Trading as provided in Article V of these Rules.</u> <u>b. Implementation of System Features of Algorithmic Trading</u> <u>i. Prior to activation of any Algorithmic Order in the DMA Facility, the DMA TP shall submit a formal letter to the Exchange. The letter shall include the following:</u> <u>1. List of Algorithmic Orders to be offered in the DMA Facility; and</u> <u>2. Clear definition and behavior of each type of Order.</u> <u>ii. The Exchange may request the DMA TP for additional information or actual demonstration of each type of Orders available in the DMA Facility.</u> <u>iii. The Exchange shall have the final assessment prior to implementation of Algorithmic Trading in the DMA Facility.</u> <u>iv. The DMA TP shall not activate any Algorithmic Order in its DMA Facility without formal written notification from the Exchange that it has no objection to the types of Orders in DMA TP's DMA Facility.</u> <u>c. Technical Requirement</u>
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	<u>The DMA Facility shall have the relevant identifier that will associate the Parent Order with its Child Orders.</u> <u>d. Regulatory Actions</u> <u>i. The written notification of the Exchange interposing no objection to the Algorithmic Trading may subsequently be revoked or invalidated by the Exchange if it deems necessary in the maintenance of a fair and orderly market.</u> <u>ii. Further to Sections 13 and 14 hereof, the Exchange may cancel all DMA Orders of a DMA TP or suspend a TP's DMA connection if it affects the performance of the PSE Trading System consistent with the provisions on Algorithmic Trading set out in Article V of these Rules.</u>
SECTION 14. Suspension or Revocation of DMA Services a. The Exchange may, without prior notice, take any of the actions enumerated below: i. Immediately disconnect the DMA Facility if such facility or any component thereof causes any problem to the PSE Trading System; ii. Upon the recommendation of the SCCP, CMIC or SEC, suspend or revoke the authorization of a DMA TP to offer DMA Services; or	SECTION 13. Suspension or Revocation of DMA Services b. The Exchange may, without prior notice, take any of the actions enumerated below: i. Immediately disconnect the DMA Facility if such facility or any component thereof causes any problem to the PSE Trading System; ii. Upon the recommendation of the SCCP, CMIC or SEC, <u>or on its own determination</u>, suspend or revoke the authorization of a DMA

iii. Upon the recommendation of SEC, direct a DMA TP to suspend or terminate the provision of DMA Services to any one or more of its DMA Clients.	iii. TP to offer DMA Services; or Upon the recommendation of SEC, <u>or on its own determination,</u> direct a DMA TP to suspend or terminate the provision of DMA Services to any one or more of its DMA Clients.
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B. VWAP Trading

The Exchange proposes to insert an article in the Revised Trading Rules relating to VWAP Trading which will be the new Article VI (succeeding articles will be renumbered accordingly) and revise other relevant portions of the Revised Trading Rules, as follows:

Existing Rule	Proposed Rule
None	ARTICLE I DEFINITIONS AND CONSTRUCTIONS SECTION 1. Definition of Terms As used in these Revised Trading Rules (the “Rules”), and unless the context otherwise requires: ... <u>“VWAP Trading” shall mean the use of volume weighted average price in the execution of transactions through the PSE trading facility.</u> ...
ARTICLE II TRADING DAY SCHEDULE ... SECTION 2. Trading Hours	ARTICLE II TRADING DAY SCHEDULE ... SECTION 2. Trading Hours

The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule: For half-day trading: 8:45 a.m. - National Anthem 9:00 a.m. - Pre-Open 9:30 a.m. - Market Open 11:57 a.m. - Pre-Close 12:00 p.m. - Run-off/Trading-at-Last 12:10 p.m. - Market Close For whole day trading: 8:45 a.m. - National Anthem 9:00 a.m. - Pre-Open 9:30 a.m. - Market Open 12:00 p.m. - Market Recess 1:30 p.m. - Market Resume 3:15 p.m. - Pre-Close 3:20 p.m. - Run-off/Trading-at-Last 3:30 p.m. - Market Close The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.	The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule: For half-day trading: 8:45 a.m. - National Anthem 9:00 a.m. - Pre-Open 9:30 a.m. - Market Open 11:57 a.m. - Pre-Close <u>11:59 a.m.</u> - <u>Pre-Close No Cancel</u> 12:00 nn - Run-off/Trading-at-Last 12:10 p.m. - <u>Closing VWAP Session</u> <u>12:25 p.m.</u> - <u>Market Close</u> For whole day trading: 8:45 a.m. - National Anthem 9:00 a.m. - Pre-Open <u>9:15 a.m.</u> - <u>Pre-Open No Cancel</u> 9:30 a.m. - Market Open 12:00 nn - Market Recess 1:00 p.m. - Market Resume 2:45 p.m. - Pre-Close <u>2:48 p.m.</u> - <u>Pre-Close No Cancel</u> <u>2:50 p.m.</u> - Run-off/Trading-at-Last 3:00 p.m. - <u>Closing VWAP Session</u> <u>3:15 p.m.</u> - <u>Market Close</u> The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.
None	ARTICLE VI <u>VWAP TRADING</u> <u>SECTION 1. General Provisions</u> <u>a. VWAP Trading shall be allowed by the Exchange.</u>

	<u>b. It shall only be executed during the VWAP Trading session set by the Exchange.</u> <u>c. All transactions executed during the VWAP Trading session shall be executed only at the VWAP computed by the Exchange.</u> <u>d. VWAP transactions shall be settled based on Clearing Agency Rules.</u> <u>SECTION 2. Trading</u> <u>a. Unless otherwise provided herein, other provisions of the PSE Trading Rules shall apply to VWAP Trading in the same manner as they apply to regular trades.</u> <u>b. VWAP Trading shall comply with the conditions set out in the Implementing Guidelines of these Rules.</u> <u>c. VWAP Trading is not allowed for a currently suspended or halted Security.</u> <u>d. Only authorized Salesman/Trader of the TP shall be allowed to execute VWAP transactions.</u> <u>e. The Order value limit set by the TP for each of its Salesman/Trader shall also apply in VWAP Trading.</u>
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Concomitantly, the Exchange proposes the following revisions to the Implementing Guidelines of the Revised Trading Rules:

Existing Rule	Proposed Rule
II TRADING HOURS	II TRADING HOURS

Unless the Exchange provides otherwise, the trading of Securities in the Exchange will be governed by the following schedule of trading hours: For half-day trading 8:45 a.m. NATIONAL ANTHEM 9:00 a.m. PRE-OPEN PERIOD No matching of Orders can occur during this period, but Trading Participants (TPs) can enter, modify, or cancel Orders, which will be processed based on the pre-opening algorithm. 9:15 a.m. – 9:30 a.m. PRE-OPEN NO CANCEL PERIOD TPs are allowed to enter Orders but cannot cancel or modify Orders during this period. 9:30 a.m. OPENING PERIOD The period when the Opening Price for all Securities is calculated. During the Opening Period, the Order book is frozen and Order entry, modification and cancellation by TPs are not allowed. 9:30 a.m. – 11:57 a.m. CONTINUOUS TRADING A period when Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules.	Unless the Exchange provides otherwise, the trading of Securities in the Exchange will be governed by the following schedule of trading hours: For half-day trading 8:45 a.m. NATIONAL ANTHEM 9:00 a.m. PRE-OPEN PERIOD No matching of Orders can occur during this period, but Trading Participants (TPs) can enter, modify, or cancel Orders, which will be processed based on the pre-opening algorithm. 9:15 a.m. – 9:30 a.m. PRE-OPEN NO CANCEL PERIOD TPs are allowed to enter Orders but cannot cancel or modify Orders during this period. 9:30 a.m. OPENING PERIOD The period when the Opening Price for all Securities is calculated. During the Opening Period, The Order book is frozen and Order entry, modification and cancellation by TPs are not allowed. 9:30 a.m. – 11:57 a.m. CONTINUOUS TRADING A period when Orders are automatically matched at the Best Price in accordance with the Revised <u>PSE</u> Trading Rules.
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11:57 a.m. – 11:59 a.m.	PRE-CLOSE AUCTION PERIOD This period is the same as the Pre-Open Auction Period. During this period, TPs can enter, modify or cancel Orders.	11:57 a.m. – 11:59 a.m.	PRE-CLOSE AUCTION PERIOD This period is the same as the Pre-Open Auction Period. During this period, TPs can enter, modify or cancel Orders.
11:59 a.m. – 12:00 nn	PRE-CLOSE NO CANCEL PERIOD During this period, TPs are allowed to enter Orders but they cannot cancel or modify Orders.	11:59 a.m. – 12:00 nn	PRE-CLOSE NO CANCEL PERIOD During this period, TPs are allowed to enter Orders but they cannot cancel or modify Orders.
12:00 nn – 12:10 p.m.	RUN-OFF/TRADING-AT-LAST TPs can enter Limit Orders at the Closing Price only or Market Orders but matching is executed only at the Closing Price for both Order types.	12:00 nn – 12:10 p.m.	RUN-OFF/TRADING-AT-LAST TPs can enter Limit Orders at the Closing Price only or Market Orders but matching is executed only at the Closing Price for both Order types.
...		<u>12:10 p.m.</u>	<u>CLOSING VWAP SESSION</u> <u>TPs are allowed to execute transactions but only at VWAP.</u>
		<u>12:25 p.m.</u>	<u>MARKET CLOSE</u> <u>End of trading. TPs cannot enter, modify or cancel Orders.</u>
		...	
For whole day trading		For whole day trading	
8:45 a.m.	NATIONAL ANTHEM	8:45 a.m.	NATIONAL ANTHEM
9:00 a.m.	PRE-OPEN PERIOD No matching of Orders can occur during this period, but	9:00 a.m.	PRE-OPEN PERIOD No matching of Orders can occur during this period, but

	TPs can enter, modify, or cancel Orders, which will be processed based on the pre-opening algorithm.		TPs can enter, modify, or cancel Orders, which will be processed based on the pre-opening algorithm.
9:15 a.m. – 9:30 a.m.	PRE-OPEN NO CANCEL PERIOD TPs are allowed to enter Orders but cannot cancel or modify Orders during this period.	9:15 a.m. – 9:30 a.m.	PRE-OPEN NO CANCEL PERIOD TPs are allowed to enter Orders but cannot cancel or modify Orders during this period.
9:30 a.m.	OPENING PERIOD The period when the Opening Price for all Securities is calculated. During the Opening Period, the Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.	9:30 a.m.	OPENING PERIOD The period when the Opening Price for all Securities is calculated. During the Opening Period, The Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.
9:30 a.m. – 12:00 nn	CONTINUOUS TRADING A period when Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules.	9:30 a.m. – 12:00 nn	CONTINUOUS TRADING A period when Orders are automatically matched at the Best Price in accordance with the Revised PSE Trading Rules.
12:00 nn – 1:30 p.m.	MARKET RECESS During this period, trading for all Securities is halted. TPs cannot post, modify or cancel Orders during this period.	12:00 nn – 1:30 p.m.	MARKET RECESS During this period, Trading for all Securities is halted not allowed . TPs cannot post enter , modify or cancel Orders during this period.
1:30 p.m. – 3:15 p.m.	MARKET RESUME/ AFTERNOON SESSION During this period, Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules. This period	1:00 p.m. – 3:15 p.m.	MARKET RESUME/ AFTERNOON SESSION CONTINUOUS TRADING During this period, Orders are automatically matched at the Best Price in accordance with the Revised

	operates in the same way as the period of Continuous Trading.		<u>PSE</u> Trading Rules. This period operates in the same way as the period of Continuous Trading.
3:15 p.m. – 3:18 p.m.	PRE-CLOSE AUCTION PERIOD This period is the same as the Pre-Open Auction Period. During this period, TPs can enter, modify or cancel Orders.	2:45 p.m. – 3:18 p.m.	PRE-CLOSE AUCTION PERIOD This period is the same as the Pre-Open Auction Period . During this period , TPs can enter, modify or cancel Orders.
3:18 p.m. – 3:20 p.m.	PRE-CLOSE NO CANCEL PERIOD During this period, TPs are allowed to enter Orders but they cannot cancel or modify Orders.	2:48 p.m. – 3:20 p.m.	PRE-CLOSE NO CANCEL PERIOD During this period , TPs are allowed to enter Orders but they cannot cancel or modify Orders.
3:20 p.m. – 3:30 p.m.	RUN-OFF/TRADING-AT-LAST TPs can enter Limit Orders at the Closing Price only or Market Orders but matching is executed only at the Closing Price for both Order types.	2:50 p.m. – 3:30 p.m.	RUN-OFF/TRADING-AT-LAST TPs can enter Limit Orders at the Closing Price only or Market Orders but matching is executed only at the Closing Price for both Order types .
...		<u>3:00 p.m.</u>	<u>CLOSING VWAP SESSION</u> <u>TPs are allowed to execute transactions but only at VWAP.</u>
		<u>3:15 p.m.</u>	<u>MARKET CLOSE</u> <u>End of trading. TPs cannot enter, modify or cancel Orders.</u>
		...	

None	<u>XXV</u> <u>VWAP TRADING</u> <u>1. VWAP transactions can only be executed through the trading facilities of the Exchange in accordance with the following parameters:</u> <u>a. The execution price shall be the volume-weighted average price for the Security in a given Trading Day;</u> <u>b. The VWAP must not exceed four (4) decimal places; and</u> <u>c. The value of the VWAP transaction shall be no less than PhP1 million.</u> <u>2. Except Block Sales, cross and Odd Lot transactions, all other trades shall be included in the VWAP computation for the Security.</u> <u>3. VWAP transactions can only be executed within fifteen (15) minutes after the Run-off/Trading-at-Last Period.</u> <u>4. VWAP transaction may only be executed by a single TP.</u> <u>5. VWAP transactions shall be included in the End-of-Day reports.</u>
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In addition to the foregoing, the Exchange proposes to delete the provisions relating to the Beginning-of-Day (“BOD”) and End-of-Day (“EOD”) actions to be performed by the Market Control Department (“MCD”) under Section II of the Implementing Guidelines since said provisions are not related to the PSE Trading Hours. Please note, however, that the MCD will still perform the enumerated BOD and EOD actions, notwithstanding the proposed deletion of the said provisions.

The full text of the pertinent sections of the Revised Trading Rules and the Implementing Guidelines with the proposed revisions are set out in Annexes “A” and “B”, respectively.

**ANNEX “A”
REVISED TRADING RULES**

**ARTICLE I
DEFINITIONS AND CONSTRUCTIONS**

SECTION 1. Definition of Terms

...

“Algorithmic Trading” shall mean the use of electronic trading platforms for entering Orders to the Exchange, with an algorithm deciding on aspects such as timing, price, or quantity of the Order without human intervention.

...

“Child Order” is a suborder or a part of a Parent Order that is automatically sent to the market in accordance with specific conditions or algorithm attached to its Parent Order.

...

“Direct Market Access” or **“DMA”** shall mean an arrangement whereby a Trading Participant’s client is permitted to enter Orders to buy or sell Securities including any modifications and cancellations without any intervention by the Trading Participant.

...

“Parent Order” is an Order that is manually entered into the trading facility and can be sliced into multiple Child Orders through conditions or algorithm.

...

“VWAP Trading” shall mean the use of volume weighted average price in the execution of transactions through the PSE trading facility.

...

ARTICLE II TRADING DAY SCHEDULE

SECTION 1. Trading Day and Non-Trading Day

Every day shall be a Trading Day except for Saturdays, Sundays, legal holidays, special holidays, days when the *Bangko Sentral ng Pilipinas* (BSP) is closed, and such other days as may otherwise be declared by the SEC or the Exchange, through its President or other duly authorized representative, to be a non-Trading Day.¹

SECTION 2. Trading Hours

The Exchange shall determine the hours and schedule of a Trading Day. Unless the Exchange decides otherwise, a Trading Day shall conform to the following schedule:

For half-day trading:

9:00 a.m.	-	Pre-Open
9:30 a.m.	-	Market Open
11:57 a.m.	-	Pre-Close
11:59 a.m.	-	Pre-Close No Cancel
12:00 nn	-	Run-off/Trading-at-Last
12:10 p.m.	-	Closing VWAP Session
12:25 p.m.	-	Market Close

For whole day trading:

9:00 a.m.	-	Pre-Open
9:15 a.m.	-	Pre-Open No Cancel
9:30 a.m.	-	Market Open
12:00 nn	-	Market Recess
1:00 p.m.	-	Market Resume
2:45 p.m.	-	Pre-Close
2:48 p.m.	-	Pre-Close No Cancel
2:50 p.m.	-	Run-off/Trading-at-Last
3:00 p.m.	-	Closing VWAP Session
3:15 p.m.	-	Market Close

The Exchange may effect changes to the hours and schedule of a Trading Day, as the circumstance warrants.

¹ There is a pending proposal from the PSE to revise this section, as follows: "Every day shall be a Trading Day except for Saturdays, Sundays, national holidays, special non-working days, and such other days as may otherwise be declared by the SEC or the Exchange, through its President or other duly authorized representative, to be a non-Trading Day; provided, however, that it is the policy of the Exchange to operate and remain open for trading on: 1) special non-working days in the National Capital Region; and 2) days when work in government offices is suspended but not in the private sector."

ARTICLE V ALGORITHMIC TRADING

SECTION 1. General Provisions

- a. Algorithmic Trading is allowed by the Exchange.
- b. An Algorithmic Order is an Order with an attached condition or set of defined instructions and may also be referred to as algo, strategic, or conditioned Order.
- c. Algorithmic Trading shall at all times comply with the following:
 - i. Programmed or automated Order entry of a Parent Order shall not be allowed; and
 - ii. The Child Order shall be Limit Orders.
- d. A TP shall comply with the requirements of these Rules and its Implementing Guidelines prior to activation of Algorithmic Trading in the TP's FEOMS or DMA Facility.

SECTION 2. Suspension of Algorithmic Trading

The Exchange may order the suspension of the use of Algorithmic Trading if it affects the performance of the PSE Trading System such as slowdown or any form of disruption of trading due to instances such as but not limited to the following:

- i. Unusual volume of Orders sent to the PSE Trading System;
- ii. Unusual behavior of an Order or Orders that may disrupt the trading of a Security; or
- iii. Any unusual trading activity that affects the PSE Trading System.

ARTICLE VI VWAP TRADING

SECTION 1. General Provisions

- a. VWAP Trading shall be allowed by the Exchange.
- b. It shall only be executed during the VWAP Trading session set by the Exchange.
- c. All transactions executed during the VWAP Trading session shall be executed only at the VWAP computed by the Exchange.
- d. VWAP transactions shall be settled based on Clearing Agency Rules.

SECTION 2. Trading

- a. Unless otherwise provided herein, other provisions of the PSE Trading Rules shall apply to VWAP Trading in the same manner as they apply to regular trades.
- b. VWAP Trading shall comply with the conditions set out in the Implementing Guidelines of these Rules.
- c. VWAP Trading is not allowed for a currently suspended or halted Security.
- d. Only authorized Salesman/Trader of the TP shall be allowed to execute VWAP transactions.
- e. The Order value limit set by the TP for each of its Salesman/Trader shall also apply in VWAP Trading.

ARTICLE X DIRECT MARKET ACCESS

SECTION 1. DMA Services

DMA Services shall mean services that allow the bona fide clients of a DMA TP to place buy or sell Orders for Securities without TP's intervention. DMA Services can be any of the following:

a. Automatic Order Routing (AOR)

AOR is a type of DMA Service where a TP permits its DMA Clients to send Orders electronically to the DMA TP's infrastructure, which in turn automatically sends the Order to the PSE Trading System. The two (2) types of AOR are the following:

- i. Internet Trading – if client is using the web-based trading application provided by the TP; or
- ii. Straight-Through Processing (STP) – if client uses an Order execution system, whether provided by the TP or a third party service provider, that is directly connected to the TP's infrastructure.

b. Sponsored Access

Sponsored Access is a type of DMA Service where a TP permits a QIB client to transmit Orders for execution directly to the PSE Trading System without passing through the TP's infrastructure.

SECTION 2. Requirements for Providing DMA Services

Any TP intending to provide DMA Services shall file an application with the Exchange and comply with the following requirements prior to commencement:

- a. DMA Facility has been certified by the Exchange pursuant to Section 3 hereof;
- b. DMA TP shall execute an agreement with the Exchange governing the privilege granted to the DMA TP to connect to the PSE Trading System;
- c. DMA TP shall comply with documentary requirements set by the Exchange;
- d. DMA TP shall have a designated and an alternate personnel for monitoring and managing DMA Clients and DMA Orders. The designated and the alternate personnel must be SEC-licensed Salesmen/Traders who shall be proficient in the use of the facility for managing DMA Orders. The names of the DMA TP's designated and alternate personnel must be submitted to the Exchange and CMIC;

- e. Audit trail facility that shows details of each instruction executed through the DMA Facility including, but not limited to, the items stated in Section 11 hereof;
- f. Automated risk management system for controlling exposure to DMA Clients before the Order is sent to the PSE Trading System. The TP shall define the minimum risk filters as stated in Section 10 hereof;
- g. DMA TPs shall inform the Exchange in writing of the commencement of DMA Services at least five (5) Trading Days ahead of the scheduled date of commencement;
- h. For Sponsored Access:
 - i. The DMA TP shall submit a certification that its DMA Client is a QIB; and
 - ii. The DMA TP shall maintain a record of the names of its DMA Clients and their duly authorized employees, their position/designation and user details including user IDs, which record shall be made available to the Exchange, CMIC, and regulatory bodies as may be required. Only duly authorized employees of a DMA Client may access its DMA account.

SECTION 3. System Certification

- a. The TP's DMA Facility is required to pass the system certification process and comply with the minimum functional requirements set by the Exchange before the commencement of DMA Services.
- b. DMA TP shall provide to the Exchange the following information, in addition to the requirements indicated in Section 2:
 - i. Measures to ensure the operational integrity, security, reliability;
 - ii. Server size and capacity; and
 - iii. Mechanisms to prevent the execution of unintended duplicate Orders;
- c. The DMA TP shall make available a copy of the executable file of the certified version of the DMA Facility software to the Exchange upon request.

SECTION 4. System Re-Certification

The DMA TP shall notify the Exchange in writing of any enhancements or modifications to the previously-certified DMA Facility, with a complete description of the enhancements or modifications.

If the intended enhancements or modifications are determined by the Exchange to be significant in nature:

- a. The Exchange shall conduct a re-certification of the DMA Facility prior to conducting live trading;
- b. The DMA TP shall pay re-certification fee; and
- c. The DMA TP shall make available a copy of the executable file of the modified version of the DMA Facility software to the Exchange upon request.

SECTION 5. DMA Service Fees

The DMA TP shall be charged for the following services:

- a. Installation/Setup
- b. Certification/Re-certification
- c. Monthly Connection
- d. Development Testing
- e. Trader ID

SECTION 6. Security System

- a. The DMA TP shall ensure that the following minimum security measures are built into the DMA Facility:
 - i. Authentication process (i.e., use of user ID and password);
 - ii. Automatic expiry of passwords for a maximum of ninety (90) calendar days;
 - iii. System to ensure that the authentication process shall not be by-passed;
 - iv. Automatic log-out or session time-out if there is no activity for a period of at least ten (10) minutes; and
 - v. A firewall configured for the provision of DMA Services.
- b. The DMA TP shall ensure that the following minimum measures are observed in operating the DMA facility:
 - i. The access to and from the location of the DMA facility is controlled, recorded and monitored; and
 - ii. The DMA facility is regularly maintained and the procedures for maintenance are accessible to the authorized personnel;
- c. The DMA TP shall have a facility and procedure to disconnect any user of its DMA Service in the event of a security breach, and to reconnect the user upon resolution of said breach. The DMA TP shall notify its DMA Client in writing of the security breach, the disconnection, and the resolution made. The DMA TP shall furnish the SEC a copy of such notice within five (5) Trading Days from resolution.

SECTION 7. Restrictions on the Use of DMA Facility

The DMA TP shall observe the following restrictions:

- a. The DMA TP shall limit access to the DMA Facility to its clients and authorized employees;
- b. The DMA TP shall provide DMA Services only to clients who possess sufficient financial resources to fulfill its trade obligations and sufficient understanding of relevant provisions of the SRC, Exchange rules and other pertinent laws, rules and regulations;
- c. For Automatic Order Routing and Sponsored Access, simultaneous multiple log-in using the same user account shall not be allowed;
- d. For Sponsored Access, the DMA TP shall offer Sponsored Access service only to QIBs; and
- e. The DMA Facility shall not be used for High-Frequency trading.

In case the DMA TP fails to strictly adhere to these requirements, the Exchange may take any of the actions enumerated in Sections 13 and 14 hereof as the Exchange may deem necessary, without prejudice to any action that the CMIC may take pursuant to its rules.

SECTION 8. Use of Algorithmic Trading

- a. Algorithmic Trading shall at all times comply with the following:
 - i. The Child Orders shall undergo DMA TP's risk checks;
 - ii. DMA TP shall not be engaged in, and will not accept any Orders arising from or intended for, High Frequency Trading; and
 - iii. Other provisions on Algorithmic Trading as provided in Article V of these Rules.
- b. Implementation of System Features of Algorithmic Trading
 - i. Prior to activation of any Algorithmic Order in the DMA Facility, the DMA TP shall submit a formal letter to the Exchange. The letter shall include the following:
 1. List of Algorithmic Orders to be offered in the DMA Facility; and
 2. Clear definition and behavior of each type of Order.
 - ii. The Exchange may request the DMA TP for additional information or actual demonstration of each type of Orders available in the DMA Facility.

- iii. The Exchange shall have the final assessment prior to implementation of Algorithmic Trading in the DMA Facility.
 - iv. The DMA TP shall not activate any Algorithmic Order in its DMA Facility without formal written notification from the Exchange that it has no objection to the types of Orders in DMA TP's DMA Facility.
- c. Technical Requirement
- The DMA Facility shall have the relevant identifier that will associate the Parent Order with its Child Orders.
- d. Regulatory Actions
- i. The written notification of the Exchange interposing no objection to the Algorithmic Trading may subsequently be revoked or invalidated by the Exchange if it deems necessary in the maintenance of a fair and orderly market.
 - ii. Further to Sections 13 and 14 hereof, the Exchange may cancel all DMA Orders of a DMA TP or suspend a TP's DMA connection if it affects the performance of the PSE Trading System consistent with the provisions on Algorithmic Trading set out in Article V of these Rules.

SECTION 9. Responsibilities of DMA Trading Participant

- a. The DMA TP warrants that it shall be ultimately responsible for all DMA Orders entered by its clients, whether such DMA Orders were entered with or without DMA TP's knowledge.
- b. The DMA TP warrants that it shall undertake the necessary measures that will ensure that the DMA Clients are knowledgeable of the PSE Trading Rules, and other pertinent laws, rules and regulations and proper use of the DMA Facility. The DMA TP shall maintain a record showing the participation or attendance by its DMA Clients in its training program, whether online, in-person or other appropriate means, which record shall be made available to the Exchange, CMIC, and regulatory bodies as may be required.
- c. The DMA TP warrants that it shall undertake the necessary measures that will ensure that all revisions and updates to laws and rules are communicated promptly to the DMA Clients.
- d. The DMA TP warrants that it shall update its DMA Service, if necessary, in order to comply with changes under pertinent laws, rules and regulations.
- e. The DMA TP shall notify the Exchange of any change in the designated and the alternate personnel at least one (1) Trading Day prior to effectivity date of any changes.

- f. The DMA TP shall furnish the Exchange a copy of the template of the DMA Agreement between the DMA TP and its DMA Client in the event of any revisions.
- g. The DMA TP shall perform daily reconciliation of DMA Client accounts (between DMA Facility and back office system) to ensure accuracy of information.
- h. The DMA TP warrants that it shall ensure that the DMA Facility has built-in measures to prevent Wash Sale.
- i. The DMA TP shall make available the executed agreement between the TP and the DMA Client to the Exchange, CMIC and regulatory bodies upon request.
- j. The DMA TP shall, upon the directive of the Exchange, CMIC or SEC, make such enhancements or modifications to the DMA Facility as may be necessary to comply with these Rules and regulatory requirements that may be issued subsequent hereto. If the enhancements or modifications are significant in nature, the Exchange shall require system re-certification.
- k. The DMA TP shall conduct a disaster recovery test at least once a year. The results of the test shall be made available to the Exchange, CMIC, and regulatory bodies as may be required.
- l. The DMA TP shall engage a third party to conduct a capacity stress test and penetration/vulnerability test at least once a year. The results of the tests shall be made available to the Exchange, CMIC, and regulatory bodies as may be required.
- m. The DMA TP shall maintain a client complaint log, which record shall be made available to the Exchange, CMIC, and regulatory bodies as may be required.

SECTION 10. Risk Management Protocols

- a. The DMA TP shall define the automated pre-trade risk filters before a DMA Client is allowed access to the DMA Facility, for the purpose of ensuring that the DMA Order is within the capacity of the DMA client to execute and settle. For this purpose, the DMA TP shall put in place a system for assessing the risk profile of its DMA Clients.
- b. The DMA TP shall, at the minimum, put in place the following types of risk filters according to the risks that are being managed:
 - i. Trade exposure – parameter for identifying the exposure in which a DMA Client can trade. The parameter shall be based on:
 - 1. Gross buying/selling transactions; or
 - 2. Net buying/selling transactions.

- ii. Order size – parameter for identifying the maximum of each DMA Order which a DMA Client can enter. The parameter shall be based on:
 - 1. value in Peso (PhP); or
 - 2. volume (number of shares); or
 - 3. a combination of any of the above.
- iii. Price limit – parameter for identifying the maximum price of the DMA Order which a DMA Client can enter. The parameter shall be based on:
 - 1. percentage (%) away from the last traded price; or
 - 2. percentage (%) away from the previous closing price or last adjusted closing price; or
 - 3. ticks (bid/ offer) away from the last traded price; or
 - 4. ticks (bid/ offer) away from the previous closing price or last adjusted closing price; or
 - 5. a combination of any of the above.
- c. The DMA TP shall have internal policies and procedures in place for setting the risk parameters, review the same on a daily basis, and adjust the risk parameter values as it may deem necessary, and ensure that all changes to the values are immediately updated and logged. The DMA TP shall ensure that the risk parameters are set up only by persons authorized by the DMA TP.
- d. In respect of margin accounts, the DMA TP shall comply with the pertinent rules and regulations on margin trading.

SECTION 11. System Log

- a. The DMA TP shall maintain a system log which includes, without limitation, the following details:
 - i. Trading Account, user ID and IP address of the DMA Client responsible for the DMA Order;
 - ii. Unique code to identify DMA Orders and Trades;
 - iii. Date and time-stamp of all system logs including confirmations/acknowledgments of PSE Trading System;
 - iv. DMA Client log-in and log-out and how the DMA Client was logged out of the system (i.e., manual or automated);
 - v. Result of risk parameter check (i.e., accept or reject and risk parameters that triggered rejection); and
 - vi. All instructions related to the DMA Order made by the DMA Client (i.e., Order posting, modification, and cancellation).

- b. The DMA TP shall maintain a copy of all system logs for at least five (5) years and make the same available for inspection by the Exchange and/or CMIC upon demand.

SECTION 12. Termination of DMA Services

- a. The DMA TP shall notify the Exchange of the termination of DMA Services at least thirty (30) calendar days prior to the effective date of the end of service.
- b. The DMA TP shall notify its DMA Clients in writing, at least thirty (30) calendar days before the effective date of end of service, of the termination of its provision of DMA Services. The notification shall include the following:
 - i. Contact information of the TP; and
 - ii. The DMA Service end date.

SECTION 13. Suspension or Revocation of DMA Services

- a. The Exchange may, without prior notice, take any of the actions enumerated below:
 - i. Immediately disconnect the DMA Facility if such facility or any component thereof causes any problem to the PSE Trading System;
 - ii. Upon the recommendation of the SCCP, CMIC or SEC, or on its own determination, suspend or revoke the authorization of a DMA TP to offer DMA Services; or
 - iii. Upon the recommendation of SEC, or on its own determination, direct a DMA TP to suspend or terminate the provision of DMA Services to any one or more of its DMA Clients.
- b. The Exchange shall not be liable to the DMA TP, its DMA Clients, or any other party in the event of disconnection.
- c. The DMA TP may, upon its own determination or upon the recommendation of the SEC or the CMIC, suspend or terminate the provision of DMA Services to one or more clients in the event of any violation of the Securities Regulation Code, its implementing rules and regulations, and other pertinent rules and regulations of the SEC and the Exchange.

SECTION 14. Suspension or Revocation for Breach

The Exchange shall suspend or revoke the authorization of a DMA TP to offer DMA Services where there is breach of any of the rules of the Exchange, or upon the instructions of CMIC or SCCP, or the order of the SEC.

SECTION 15. Reinstatement or Lifting of Suspension of DMA Services

The Exchange shall lift the suspension imposed pursuant to the preceding section and reinstate the DMA Services if the reason or cause of the suspension has been resolved to the satisfaction of the Exchange, or upon the instruction of CMIC or SCCP, or the order of the SEC, as may be applicable.

SECTION 16. Limitation of Liability

The Exchange, its Board of Directors, officers and employees shall not be liable for damages arising from the use of DMA Services.

SECTION 17. Applicability of the Securities Regulation Code

The applicable provisions of the SRC, its implementing rules and regulations and other laws, rules and regulations shall continue to be in full force and effect and the DMA TP shall continue to be bound by the same. If any provision set out in Article X of these Rules shall be held to be contrary to any provision of the securities laws or any law, the remaining provisions shall continue to be in force and effect.

ANNEX "B"
IMPLEMENTING GUIDELINES OF THE REVISED TRADING RULES

II
TRADING HOURS

Unless the Exchange provides otherwise, the trading of Securities in the Exchange will be governed by the following schedule of trading hours:

For half-day trading

9:00 a.m.	PRE-OPEN No matching of Orders can occur, but Trading Participants (TPs) can enter, modify, or cancel Orders.
9:15 a.m.	PRE-OPEN NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
9:30 a.m.	OPENING Opening Price for all Securities is calculated. The Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.
9:30 a.m.	CONTINUOUS TRADING Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.
11:57 a.m.	PRE-CLOSE This is the same as Pre-Open. TPs can enter, modify or cancel Orders.
11:59 a.m.	PRE-CLOSE NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
12:00 nn	RUN-OFF/TRADING-AT-LAST TPs can enter Orders at the Closing Price only.
12:10 p.m.	CLOSING VWAP SESSION TPs are allowed to execute transactions but only at VWAP.
12:25 p.m.	MARKET CLOSE End of trading. TPs cannot enter, modify or cancel Orders.

For whole day trading

9:00 a.m.	PRE-OPEN No matching of Orders can occur, but TPs can enter, modify, or cancel Orders.
9:15 a.m.	PRE-OPEN NO CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
9:30 a.m.	OPENING Opening Price for all Securities is calculated. The Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.
9:30 a.m.	CONTINUOUS TRADING Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.
12:00 nn	MARKET RECESS Trading for all Securities is not allowed. TPs cannot enter, modify or cancel Orders.
1:00 p.m.	MARKET RESUME/CONTINUOUS TRADING Orders are automatically matched at the Best Price in accordance with the PSE Trading Rules.
2:45 p.m.	PRE-CLOSE This is the same as Pre-Open. TPs can enter, modify or cancel Orders.
2:48 p.m.	PRE-CLOSE NO-CANCEL TPs are allowed to enter Orders but cannot cancel or modify Orders.
2:50 p.m..	RUN-OFF/TRADING-AT-LAST TPs can enter Orders at the Closing Price only.
3:00 p.m.	CLOSING VWAP SESSION TPs are allowed to execute transactions but only at VWAP.
3:15 p.m.	MARKET CLOSE End of trading. TPs cannot enter, modify or cancel Orders.

XXV
VWAP TRADING

1. VWAP transactions can only be executed through the trading facilities of the Exchange in accordance with the following parameters:
 - a. The execution price shall be the volume-weighted average price for the Security in a given Trading Day;
 - b. The VWAP must not exceed four (4) decimal places; and
 - c. The value of the VWAP transaction shall be no less than PhP1 million.
2. Except Block Sales, cross and Odd Lot transactions, all other trades shall be included in the VWAP computation for the Security.
3. VWAP transactions can only be executed within fifteen (15) minutes after the Run-off/Trading-at-Last Period.
4. VWAP transaction may only be executed by a single TP.
5. VWAP transactions shall be included in the End-of-Day reports.